

DRAFT

Association of Apartment Owners of Na Hale O Makena
Board of Directors Meeting Minutes
Friday, May 15, 2026

Board Members Present: Robert Sutor, President; Paul Reshke, Treasurer; and David Rapp, Secretary

Other Attendees: Rena Tamura, Senior Account Executive, Destination Maui, Inc.; and Molly Duncan, Resident Manager

I. DECLARATION OF QUORUM

A quorum was declared with all Directors present.

II. CALL TO ORDER

President Robert Sutor called the Association of Apartment Owners of Na Hale O Makena Board of Directors Meeting to order at 1:02 p.m. Hawaii Standard Time via Zoom.

III. PROOF OF NOTICE

Destination Maui, Inc. certified Notice of Meeting was e-mailed to the Directors of record and filed in the office of the Managing Agent on Monday, May 11, 2026. This notice was also posted on property 72 hours prior to this meeting pursuant to Chapter 514B of the Hawaii Revised Statutes.

IV. APPROVAL OF MINUTES

MOTION: To approve the minutes of the March 5, 2026 meeting.

Reshke / Rapp Unanimous Approval

V. REPORTS OF OFFICERS AND RESIDENT MANAGER

A. President

The President looks forward to getting projects lined up for the next year.

B. Treasurer

Treasurer Paul Reshke reviewed the April 2026 financials and reported that operations are trending close to budget.

There is a surplus of \$35,000 year-to-date, and the Association hasn't used any of the \$50,000 contingency in the budget thus far. This excess is giving the Board some room to undertake repair and maintenance projects — including repainting rental unit A202 — that weren't originally budgeted.

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There is good news regarding quotes for property insurance: the AOA premium is dropping from \$427,000 in 2025 to \$221,000 this year. In light of the substantial decrease in insurance, the Treasurer plans to discuss amending the 2026 Budget to reduce owners' maintenance fees effective August 1.

Overall, the Association is in good shape financially.

C. Resident Manager

Resident Manager Molly Duncan reported that painting of AOA rental unit A202 has been completed.

Cleaning and sealing of the pool deck is done. Ms. Duncan will do a final walkthrough with the owner of the company to point out areas that need touchups before signing off on the job. The company will replace a new dining table in the pavilion that was damaged by chemicals during the project.

Dethatching of the lawn is nearly finished. The contractor has recommended sodding in some areas; Ms. Duncan will submit the company's proposal to the Board.

As occupancy decreases during the summer, Ms. Duncan looks forward to completing small repair and maintenance projects, including pressure-washing the walkways.

VI. UNFINISHED BUSINESS – None

VII. NEW BUSINESS

A. Review of 2026-2027 Reserve Requirements and Maintenance Items

The Board and Resident Manager are reviewing the Reserve Study and schedule to determine priority projects.

The Reserve Study was last updated in 2023. Ms. Duncan will provide proposals to conduct a new study this year.

B. 2026-2027 Reserve Contribution Determination

This item was tabled.

MOTION: To add to the agenda under Unfinished Business Governing Documents, and in New Business, Insurance Renewal Regarding the Property Policy, Engagement Letter for the Auditor, DMI Contract/Resident Manager Agreement, and Property Taxes.

Rapp / Reshke Unanimous Approval

VIII. UNFINISHED BUSINESS (Continued)

A. Governing Documents

The President would like the file names of Association Governing Documents to be organized and clear as to what they are and their date of record with the State Bureau of Conveyances.

Directors discussed proposed amendments to the Bylaws — including reducing the number of Directors from five to three — and having an attorney restate the Bylaws and Declaration to incorporate Directors' changes and bring them in line with state law. Secretary David Rapp will start the process

The Treasurer is working with the Resident Manager to update the AOA's Rules and Regulations Document, which is dated September 2017 and has been amended multiple times.

IX. NEW BUSINESS (Continued)

C. Insurance Renewal Regarding the Property Policy

Directors reviewed the AOA's property insurance quotes. The coverage is up for renewal this month, and the cost of the Board's preferred option is \$221,731.02.

Treasurer Reshke will contact the Association's insurance agent to confirm if payment is due in full or if paying by interest-free installments is possible.

The Board voted on the following resolution:

RESOLUTION OF THE BOARD OF DIRECTORS
OF THE ASSOCIATION OF APARTMENT OWNERS OF
NA HALE O MAKENA

AUTHORIZATION OF TEMPORARY TRANSFER FROM RESERVE FUNDS
FOR PAYMENT OF 2026 INSURANCE PREMIUMS

WHEREAS, the Association of Apartment Owners of Na Hale O Makena ("Association") is responsible for maintaining property and liability insurance coverage required under the Declaration, By-Laws, and applicable Hawaii law; and

WHEREAS, the Board of Directors has determined that the 2026 insurance renewal premiums may require temporary use of reserve funds in order to ensure uninterrupted insurance coverage for the Project; and

WHEREAS, the Board has reviewed the Association's current reserve balances and has determined that a temporary transfer from reserve funds, in an amount not to exceed One Hundred Thousand Dollars (\$100,000.00), is in the best interests of the Association, is necessary to maintain required insurance coverage, and will not materially impair the Association's reserve obligations; and

WHEREAS, the Board intends that any such reserve transfer be temporary in nature and fully repaid to the reserve account no later than May 31, 2027;

NOW, THEREFORE, BE IT RESOLVED THAT:

1. The Board of Directors hereby authorizes a temporary transfer from the Association's reserve funds to the Association's operating account in an amount not to exceed \$100,000.00 for the sole purpose of funding the 2026 insurance renewal premiums and related insurance expenses as necessary.
2. Any funds transferred from reserves pursuant to this Resolution shall be repaid in full to the reserve account no later than May 31, 2027.
3. The Board finds that maintaining uninterrupted insurance coverage for the Project is a necessary and essential Association obligation and that this temporary reserve transfer is required to protect the Association and its members.
4. The Treasurer, President, Managing Agent, and such other officers or agents of the Association as may be necessary are authorized to take all administrative actions necessary to implement this Resolution.
5. The Board shall document all transfers and repayments associated with this temporary reserve transfer in the Association's financial records.
6. This Resolution shall take effect immediately upon adoption.

ADOPTED by the Board of Directors of the Association of Apartment Owners of Na Hale O Makena on May 15, 2026.

MOTION: To approve the resolution to borrow from the Reserves \$100,000 as outlined in the resolution to finance the 2026 insurance premium.

Sutor / Rapp Unanimous Approval

D. Engagement Letter for the Auditor

MOTION: That we approve the engagement letter for the December 31, 2026 Audit.

Sutor / Rapp Unanimous Approval

The cost of the audit is \$7,400.

E. DMI Contract/Resident Manager Agreement

The Board discussed proposed amendments to Ms. Duncan's contract.

MOTION: To approve that Molly and her husband have access to the pool and facilities that are on the property.

Rapp / Reshke Unanimous Approval

F. Property Taxes

At the next meeting, the Board plans to discuss hiring an attorney to represent all owners regarding excessive Maui County property valuations and tax assessments.

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X. NEXT MEETING DATE

The Board will determine the date of the next meeting.

XI. ADJOURNMENT

The meeting adjourned at 3:25 p.m.

Mark Vieth

Recording Secretary

Approved (date): _____

Initials: _____